



MOCK TEST: HUMAN CAPITAL FORMATION IN INDIA

Class 12 – Indian Economic Development (NCERT Chapter 5/New Edition)

PREPARED BY THUNDERSTUDY ✨

SECTION A – MULTIPLE CHOICE QUESTIONS (30 × 1 = 30 Marks)

- Human capital formation refers to:
(A) Machines (B) Education, health & skill development (C) Manual workers (D) Admin Machinery
- NOT a component of human capital formation:
(A) Education (B) On-job training (C) Roads and bridges (D) Nutrition
- HDI was developed by:
(A) World Bank (B) UNDP (C) IMF (D) WHO
- Share of expenditure on education as % of GDP in India is approx:
(A) 1% (B) 3-4% (C) 10% (D) 15%
- Scheme providing free meals to children:
(A) SSA (B) Mid-Day Meal (C) NHM (D) PMGY
- Sarva Shiksha Abhiyan (SSA) target age group:
(A) 0-6 (B) 6-14 (C) 15-18 (D) 18-25
- NEP 2020 emphasizes:
(A) Rote learning (B) Holistic education (C) English only (D) Reducing school time
- Indicator for health status:
(A) Literacy (B) Life expectancy (C) GDP (D) Export rate
- Infant Mortality Rate (IMR) means deaths per:
(A) 100 (B) 1,000 live births (C) 10,000 (D) 1 Lakh
- On-the-job training increases:
(A) Unemployment (B) Skill and productivity (C) Leisure (D) Factory cost only

11. NOT part of Ayushman Bharat:
(A) PM-JAY (B) Wellness centers (C) Universal Class 12 education (D) Pre-hospitalization cover
12. Brain drain refers to:
(A) Internal migration (B) Skilled emigration (C) More skill training (D) Higher birth rate
13. Investment in human capital results in:
(A) Higher productivity (B) Lower GDP (C) Less innovation (D) Physical asset reduction
14. Education commission (1964-66) recommended education spending of:
(A) 2% (B) 4% (C) 6% (D) 10%
15. PMKVY focuses on:
(A) Primary school (B) Skill training (C) Building dams (D) Space research
16. Literacy rate in India as per 2011 census was approx:
(A) 50% (B) 74% (C) 90% (D) 40%
17. Highest literacy state:
(A) Bihar (B) UP (C) Kerala (D) Punjab
18. Working age population group for demographic dividend:
(A) 0-14 (B) 15-59 (C) 60+ (D) 18-25 only
19. Two major regulatory bodies of education in India:
(A) RBI & SEBI (B) UGC & AICTE (C) ISRO & DRDO (D) NITI Aayog & FCI
20. Source of human capital formation:
(A) Migration (B) Information (C) Health (D) All of these
21. Right to Education (RTE) was enacted in:
(A) 1947 (B) 2009 (C) 2014 (D) 2020
22. Disparity in female-male literacy represents:
(A) Gender equity (B) Gender inequality (C) Efficiency (D) Modernization
23. External benefit of education:
(A) Personal salary only (B) Better democratic participation (C) Less communication (D) None
24. Who takes care of health at the village level in India?
(A) AIIMS (B) PHCs (C) MNCs (D) World Bank
25. National Skill Development Mission was launched in:
(A) 1991 (B) 2015 (C) 2005 (D) 1950

26. Human Capital vs Physical Capital: Human capital is...
(A) Tangible (B) Intangible (C) Saleable in market directly (D) Depreciates with usage only
27. Reason for people to migrate:
(A) Better earnings (B) Higher cost of living (C) Boredom (D) Less work
28. Right to Education covers ages:
(A) 3-6 (B) 6-14 (C) 14-18 (D) 18-21
29. Spending on Information is a source of human capital because:
(A) It wastes time (B) It helps in making better career/health decisions (C) It increases phone bills (D) None
30. Quality of life is measured by:
(A) Only Income (B) HDI (C) Only Literacy (D) Gold reserves

SECTION B – VERY SHORT ANSWER QUESTIONS (10 × 2 = 20 Marks)

31. Define Human Capital.
32. Mention two sources of Human Capital Formation.
33. What is the difference between Human Capital and Human Development?
34. Why is 'On-the-job training' important?
35. What does the 'Demographic Dividend' mean?
36. Mention two indicators of health status.
37. What is 'Brain Drain'?
38. Why is spending on 'Information' necessary for skill?
39. Name two regulatory bodies of healthcare in India.
40. Define Literacy Rate.

SECTION C & D (SHORT & LONG ANSWERS)

41. Explain how education and health contribute to economic growth. (4M)
42. Discuss the main problems facing Human Capital Formation in India. (4M)
43. Analyse the trends in sectoral expenditure on education in India. (6M)
44. "Human capital is considered superior to other resources." Justify. (6M)



ANSWER KEY (CHAPTER 5) - THUNDERSTUDY

1-B	2-C	3-B	4-B	5-B
6-B	7-B	8-B	9-B	10-B
11-C	12-B	13-A	14-C	15-B
16-B	17-C	18-B	19-B	20-D
21-B	22-B	23-B	24-B	25-B
26-B	27-A	28-B	29-B	30-B

Quick Notes: Human Capital is a **means** to an end (productivity), while Human Development is an **end** in itself (well-being).

SCORE HIGH WITH THUNDERSTUDY (@Luffykidlaw)